SUMMARY · MK 4 OPERATIONS & SUPPLY CHAIN MANAGEMENT · WEEK 2

# Operations Strategy & Blue Ocean Strategy

Operations and supply chain strategy (Ch. 2) plus Blue Ocean Strategy (Kim & Mauborgne Ch. 1–2) and the Enel's Innovability case (INSEAD). Part 1: sustainable strategy (people, profit, planet), definitions, three stages of formulating strategy, the competitive dimensions, order qualifiers vs winners, IKEA's activity system, supply chain risk and productivity. Part 2: red vs blue oceans, the 108-company evidence, value innovation, the strategy canvas, four actions framework, ERRC grid ([yellow tail], Cirque du Soleil), the three tests (Southwest), six value-curve signals, and how Blue Ocean completes the strategy map. Parts 3–4: the Enel case and four discussion questions.

## Material

### 1 Learning objectives and session flow

1. Know what a sustainable business strategy is and how it relates to OSCM.
2. Define operations and supply chain strategy, its competitive dimensions and trade-offs.
3. Explain implementation through activity systems and why strategy carries risk.
4. Apply the Blue Ocean toolkit: strategy canvas, four actions, ERRC grid.
5. Evaluate real moves — IKEA, Southwest, Cirque du Soleil, [yellow tail], Enel.

Foundations → Blue Ocean → Enel case → Discussion → Debrief

**Ground rule**

Tie every claim to a framework — a competitive dimension, a value curve, or an ERRC box.

## 2 Strategy starts with sustainability (triple bottom line)

**People**
Fair, beneficial practices toward labour, community and region.

**Profit**
Competitive shareholder return, long-term value, lasting economic benefit to society.

**Planet**
Protect the environment or at least do no harm; cradle-to-grave assessment of true environmental cost.

**Why in operations?**

Sourcing, manufacturing, logistics and disposal carry social and environmental impact. Critics: conflicting criteria cost efficiency; firms in developing economies must first survive.

## 3 What operations & supply chain strategy is, and how it's formulated

| Term | Definition |
|---|---|
| **Operations & supply chain strategy** | Broad policies and plans guiding resource use to implement corporate strategy. |
| **Operations effectiveness** | Performing activities to best implement strategic priorities at minimum cost, across every function. |

Consequences: different clock speeds (effectiveness results in 12–24 months), capabilities as a portfolio, planning as a repeated boardroom process.

| Stage | Process | Outputs |
|---|---|---|

| | | |
|---|---|---|
| 1. Strategic analysis | Vision, mission, objectives; competitive analysis; priorities | Customer preferences, technologies, demographics, competition |
| 2. Initiatives | Major steps; product design and operations/supply chain initiatives | Product/platform and operations changes |
| 3. Implementation projects | Specific projects, resources, funding and procurement | Project plans |

Fast-moving industries refine these up to four times a year.

## 4 The competitive dimensions: how do customers choose?

| Dimension | Phrase | Explanation |
|---|---|---|
| **Cost/price** | "Make it inexpensively" | Commodity-like; huge segment, fierce competition — only one low-cost producer. |
| **Delivery speed** | "Make it quickly" | 1–2 hour onsite repair beats a 24-hour guarantee. |
| **Delivery reliability** | "Deliver when promised" | A missing tyre delivery can idle a line; FedEx's cornerstone. |
| **Quality** | "Make a great product" | Design quality (features for the target) and process quality (defect-free). |
| **Coping with demand changes** | "Change its volume" | Scaling up cuts cost; scaling back means layoffs and asset cuts. |
| **Flexibility & new-product speed** | "Change it" | Wide variety and time to develop products and convert processes. |
| **Support (7th)** | "Support it" | Technical liaison, meeting launch dates, after-sale support. |

## 5 Trade-offs: order qualifiers vs order winners

No firm can be best at every dimension; management decides which are critical.

**Order qualifiers**

Screening criteria that let a product be considered — they get you shortlisted, not the sale.

vs

**Order winner**

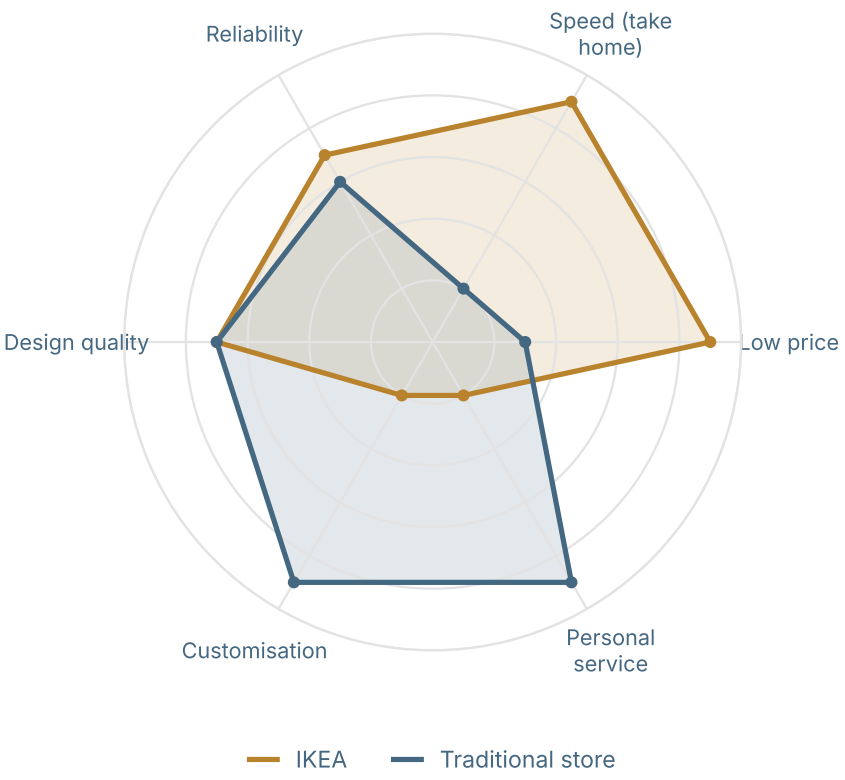
The criterion that differentiates and on which the buyer finally chooses.

| Example | Qualifiers | Winner |
|---|---|---|
| Notebook | 14-inch screen, under 3 lb, latest OS, under $1,000 | Longest battery life |
| Office-supplies supplier | Has the items, 24-hour delivery, guaranteed, private web catalogue | Discount schedule |

**Migration rule**

Today's order winner tends to become tomorrow's qualifier.

**Competitive dimension profiles (conceptual)**




## 6 Strategy is delivered by activities: IKEA's activity system

| Typical furniture retailer | IKEA |
|---|---|
| Showrooms with samples and thousands of swatches | Self-service with room-like displays |
| Salespeople escort customers | Own low-cost, ready-to-assemble designs |
| Order relayed to a third-party manufacturer | Self-serve warehouse; take it home today |
| Home delivery in 6–8 weeks | Paid extras: delivery, assembly, kitchen planning, design |
| *Max customisation and service at high cost* | *Target: young buyers wanting style at low cost* |

**Principle**

Advantage comes from how the whole system of activities fits and reinforces itself — hard to imitate piecemeal.

## 7 Strategy carries risk — and must be measured (productivity)

**Supply chain risk**: coordination risks are managed with safety stock, lead time and overtime; disruption risks are random. Steps: (1) identify sources (natural disasters, capacity/infrastructure failure, supplier failure, labour actions, price volatility, conflict); (2) assess probability and impact (financial, environmental, reputational, viability, human life); (3) mitigate — some risks are accepted as normal cost.

**GM 1996**

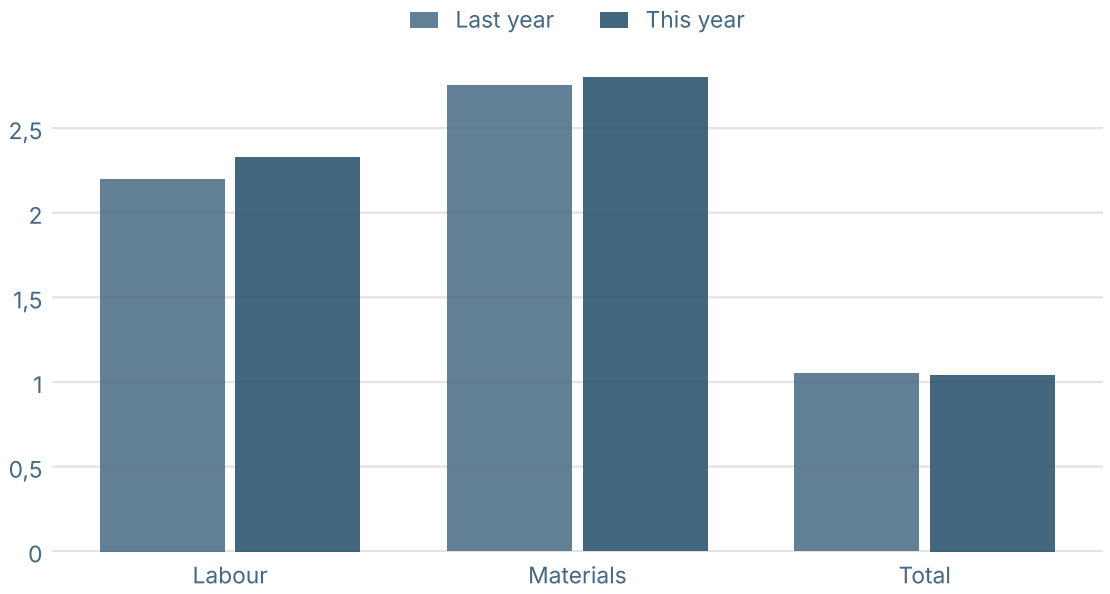
An 18-day strike at one brake supplier idled 26 plants — ~$900m lost earnings.

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Productivity = Outputs ÷ Inputs
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Partial (one input), multifactor (a group of inputs), total factor (all outputs ÷ all resources). It is a relative measure.

| Measure | Last year | This year |
|---|---|---|
| Labour | 2.20 | 2.33 |
| Raw materials | 2.75 | 2.80 |
| **Total** | **1.05** | **1.04** |

**Productivity last year vs this year**




**Paradox**

Both partial measures rose, yet total productivity fell — other inputs grew faster.

## 8 Blue Ocean: two kinds of market space and the evidence

| Red ocean | Blue ocean |
|---|---|
| Defined boundaries, known rules | Untapped space, demand creation |
| Compete in existing space | Create uncontested space |
| Beat the competition | Make it irrelevant |
| Exploit existing demand | Create and capture new demand |
| Accept the value–cost trade-off | Break it |
| Differentiation or low cost | Both together |

**Nuance**

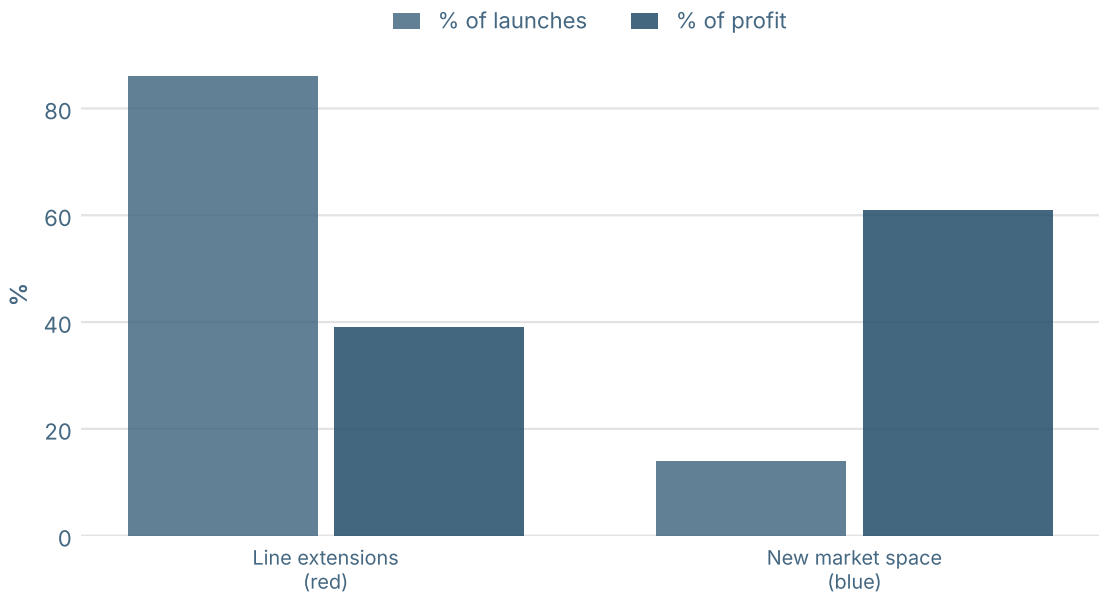
Most blue oceans are created from within red oceans by expanding boundaries (Cirque du Soleil).

**86%**
Line extensions

**14%**
Aimed at new market space

**61%**
Of total profit from that 14%

**108 launches: share of launches vs share of profit**




The unit of analysis is the **strategic move**.

## 9 Value innovation — the cornerstone

Make the competition irrelevant by creating a leap in value for buyers and the company at the same time.

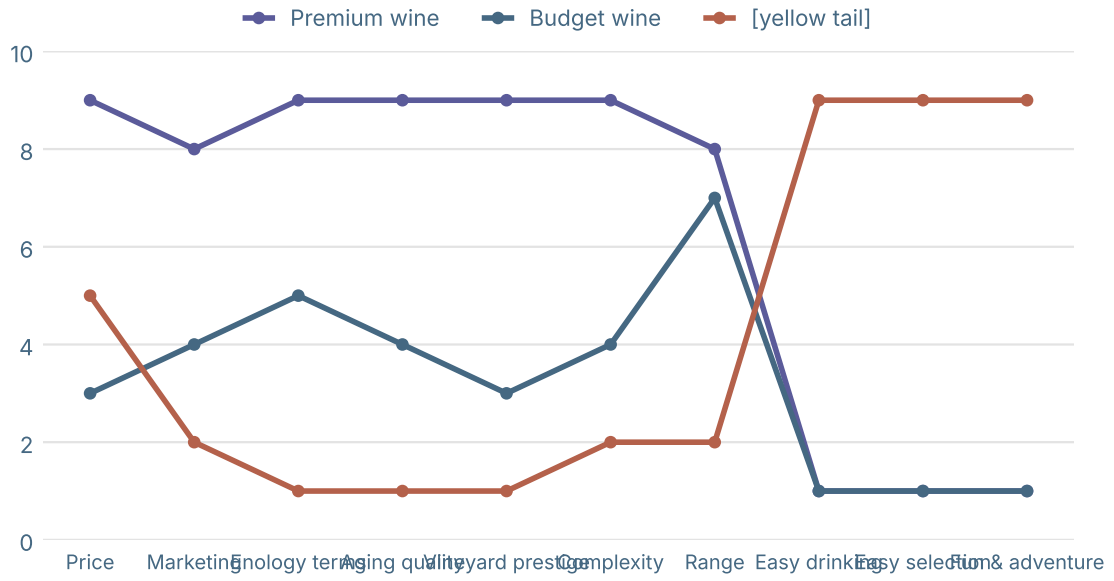
| Feature | Explanation |
|---|---|
| Defies the value–cost trade-off | Pursue differentiation and low cost simultaneously. |
| Whole-system approach | Utility, price and cost must align; a subsystem innovation rarely creates new space. |

| | |
|---|---|
| Sources | Cost savings from eliminating and reducing; buyer value from raising and creating. |
| Reconstructionist view | Market boundaries and industry structure can be reconstructed. |

## 10 Tools 1–3: strategy canvas, four actions, ERRC grid

**Strategy canvas**: x = factors the industry competes on; y = offering level; the line = value curve.

**US wine strategy canvas (conceptual)**




**US wine**

1,600+ wineries with converging curves — premium and budget have the same shape at different altitudes.

**ELIMINATE**

Factors taken for granted that no longer add value.

**RAISE**

Remove compromises the industry forces on customers.

**REDUCE**

**CREATE**

Entirely new sources of buyer value.

Where products are overdesigned to beat rivals.

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Eliminate + Reduce → lower cost · Raise + Create → higher value
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| | [yellow tail] | Cirque du Soleil |
|---|---|---|
| Eliminate | Enological jargon; aging qualities; above-the-line marketing | Star performers; animal shows; aisle concessions; multiple arenas |
| Reduce | Complexity; range; vineyard prestige | Fun and humour; thrill and danger |
| Raise | Price vs budget wines; retail store involvement | Unique venue |
| Create | Easy drinking; fun and adventure; ease of selection | Theme; refined environment; multiple productions; artistic music and dance |

≡ **[yellow tail]**

Fastest-growing brand in Australian and US wine history with no promotional campaign; it grew the market.

## 11 Three tests of a good strategy (Southwest) and six value-curve signals

**Focus**

Friendly service, speed, frequent point-to-point departures — no meals, lounges, seat choice.

**Divergence**

Point-to-point between midsize cities vs hub-and-spoke.

**Tagline**

"Plane speed at car prices, whenever you need it."

| # | Signal | Sign |
|---|---|---|
| 1 | Blue ocean | Focus, divergence, tagline |

| | | |
|---|---|---|
| 2 | Caught in the red ocean | Curve converges with rivals |
| 3 | Overdelivery without payback | High everywhere, share and profit don't follow |
| 4 | Incoherent | Zigzag curve from silos |
| 5 | Strategic contradictions | High on one factor, neglecting its supports |
| 6 | Internally driven | Factors written in operational jargon |

## 12 The strategy map and how Blue Ocean completes it

A **strategy map** shows actionable steps toward Porter's generic strategies and how objectives and initiatives interconnect. The activity map answers how we deliver the chosen position; the canvas asks whether it is worth holding.

| Question | Classic tool | Blue Ocean addition |
|---|---|---|
| Where do we compete? | Industry analysis, structure given | Reconstruct boundaries (alternative industries, strategic groups, buyer groups, complements, time) |
| What do buyers value? | Qualifiers and winners from current customers | Canvas: alternatives and noncustomers |
| Where to invest more/less? | Dimensions and trade-offs | Four actions & ERRC |
| How do we deliver? | Activity-system fit | Whole-system alignment of utility, price, cost |
| Is it working? | Effectiveness and productivity | Three tests + six signals |

## 13 Enel's Innovability: the company, the move and the innovation engine

INSEAD IN1644, Case Centre award 2021. Founded 1962, privatised 1999 (IPO > US$17bn). 2018: €76bn revenue, €16.4bn gross operating margin, 69,300 employees, 34 countries, 89.8 GW managed, 43 GW renewable, 2.2m km grid, 73m end users. Megatrends: decarbonization (77% of new capacity renewable by 2050), electrification (+62% demand), decentralization (prosumers), digitalization.

"Sustainability is the goal; innovation is the tool." — Francesco Starace.

| Pillar | What changed |
|---|---|
| Purpose | Sustainability as the driver of innovation; functions merged into Innovability |
| Structure | Global business lines × regions; Innovability reports to the CEO, teams in every line |
| Culture | No-blame: "My Best Failure", "Make it Happen!", RACI without a manual |
| Capital allocation | Investment committee screens projects on sustainability and innovation too; billions rejected |

1. Identify challenges ("I NEED")
2. Select the tool
3. Originate solutions (hubs, crowdsourcing, suppliers, universities)
4. Proof-of-concept with KPIs
5. Scale up

Results by 2019: 6,000+ start-ups scouted, 250 projects, €30m+ committed, 50+ scaled globally.

## 14 Four Enel discussion questions (with answer directions)

| Question | Core | Answer direction |
|---|---|---|
| Q1 Blue ocean? | Same four segments, same regulators; megatrends visible to all. | What was eliminated? Which noncustomers now buy? New shape or same shape higher? Mostly excellent operational effectiveness with blue-ocean elements in new businesses. |
| Q2 ERRC grid | At least two ELIMINATE items. | Eliminate country silos, closed R&D, fear of failure, equity stakes in start-ups; reduce new fossil investment; raise renewables and digital grids; create open-innovation platform, new services, SDG bonds. |
| Q3 Winner or qualifier? | 2019 SDG-linked bond, US$1.5bn, ~3× oversubscribed; stock +66%. | Winner for capital markets; electrons are identical for households; an input to corporate buyers' compliance; migrates to qualifier as everyone turns green. |
| Q4 How long blue stays blue | PV US$3.5/W (2000) → 0.62 (2016); PV −85%, wind −49% since 2010. | Capital intensity and regulation slow imitation; falling costs speed obsolescence; Enel built renewal into platforms, capital allocation and culture. |

## 15 Wrap-up: five takeaways

1. **Strategy is a choice about resources, not a statement of ambition.**
2. **You cannot be best at everything** — know qualifiers vs winners, and expect the boundary to move.
3. **Fit beats brilliance in any single activity.**
4. **Blue Ocean asks what the strategy map assumes away** — discipline lives in eliminate and reduce.
5. **No position is permanent — build the search capability** (Enel changed structure, culture and capital allocation together).

## Key takeaways

1. Sustainable strategy = people, profit, planet; much of the impact sits in operations.
2. Operations & SC strategy guides resource use for corporate strategy; operations effectiveness implements priorities at minimum cost.
3. Formulation: strategic analysis → initiatives → implementation projects.
4. Competitive dimensions: cost, speed, reliability, quality, demand changes, flexibility/new-product speed, support.
5. Order qualifiers vs winners; winners migrate to qualifiers.
6. IKEA's activity system: advantage from fit.
7. Supply chain risk: identify, assess, mitigate (GM 1996).
8. Productivity = outputs ÷ inputs; partial gains can hide a total decline.
9. Red vs blue oceans; 14% of launches → 61% of profit; the strategic move is the unit of analysis.
10. Value innovation: lower cost and higher value together.
11. Strategy canvas, four actions, ERRC grid.
12. Focus, divergence, tagline; six value-curve signals.
13. Enel's Innovability: purpose, structure, culture, capital allocation, open innovation.

## Case studies

Case & worked answers

### Enel's Innovability — discussion answers

Enel merged innovation and sustainability into "Innovability", reporting to the CEO, with open innovation (6,000+ start-ups scouted, 50+ scaled). Q1: mostly not a pure blue ocean — closer to operational effectiveness plus capability change; new value for noncustomers (prosumers, e-mobility, demand response) is the blue part. Q2 ERRC: eliminate new coal, closed R&D, fear of failure, most start-up equity stakes; reduce fossil dependence and silos; raise renewables, digital grid, POC speed; create hubs, crowdsourcing, prosumer models, SDG-linked bond. Q3: sustainability is a winner in capital markets, a qualifier for households, a compliance input for corporates — and migrates to qualifier once everyone is green. Q4: regulation slows imitation, falling tech costs speed obsolescence; what lasts is the renewal engine.

## Worked examples

Problem 1 · Easy **Produktivitas tenaga kerja**

Bulan lalu 4 karyawan × 160 jam menghasilkan 1.280 unit. Bulan ini, setelah perbaikan proses, 4 karyawan × 150 jam menghasilkan 1.350 unit. Berapa kenaikan produktivitasnya?

1. `Produktivitas = Output ÷ Input`
2. Lalu: 1.280 ÷ 640 jam = 2,0 unit/jam.
3. Sekarang: 1.350 ÷ 600 jam = 2,25 unit/jam.
4. Kenaikan = (2,25 − 2,0) ÷ 2,0 = 12,5%.

**Answer:** Produktivitas naik 12,5% (2,0 → 2,25 unit/jam).

Problem 2 Medium **Produktivitas multifaktor**

Nilai output Rp50 juta. Input: tenaga kerja 10, bahan 20, modal 5, energi 2 (Rp juta). Hitung produktivitas multifaktor.

1. Total input = 10 + 20 + 5 + 2 = 37.
2. MFP = 50 ÷ 37 = 1,35.

**Answer:** 1,35 — setiap Rp1 input menghasilkan Rp1,35 output.

## Practice questions

Try answering first. The answer key is below each question.

**1. Battery life decides among qualifying laptops. It is the...**

A. Qualifier
B. Order winner
C. Hygiene
D. Table stakes

**Answer: B.** Final differentiator.

**2. In ERRC, the cost-cutting actions are...**

A. Raise & create
B. Eliminate & reduce
C. Create only
D. Raise only

**Answer: B.** Raise/create lift value.

**3. The 14% of launches creating new space produced what share of profit?**

A. 14%
B. 39%
C. 61%
D. 86%

**Answer: C.** 61%.

**4. The three tests of good strategy are…**

A. Price, quality, speed
B. Focus, divergence, tagline
C. VRIO
D. Plan, source, make

**Answer: B.** Southwest example.

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**5. Labour and materials productivity rose, total fell. Likely…**

A. Miscalculation
B. Other inputs grew faster than output
C. Output collapsed
D. Impossible

**Answer: B.** Partial measures mislead.

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### Sources


- P3MD MK4 OSCM — Strategy (class slides, final)
- Jacobs & Chase — OSCM, Ch. 2; Kim & Mauborgne — Blue Ocean Strategy, Ch. 1–2
- Garcia & Monteiro — Enel's Innovability, INSEAD IN1644 (2021)